#uni #s26 #bu419

Lecture 01: Introduction & Insurability

Types of Business Risks

1. Strategic Risk
    - Reputational damage
    - Competition
    - Customer wants
    - Demographic & Other trends
    - Technological innovation
    - Capital availability
    - Political / Regulatory
2. Financial Risk
    - Liquidity
    - Credit
    - Inflation
    - Hedging / Basis
    - Price
3. Operational Risk
    - Business operations
    - Empowerment
    - IT
    - Business Reporting
4. Hazard Risk
    - Damage to assets
    - Legal liability
    - Worker injury
    - Employee benefits
    - Business interruption

Types of losses from Hazard Risks

- Direct losses
    - Damage to assets

    - Injury / Illness to employees
    - Liability claims and defence costs
- Indirect losses
    - Loss of normal revenues
    - Extra operating expense
    - Higher cost of funds
    - Foregone investment
    - Bankruptcy costs

Ways to Manage Risk

- Risk Control
    - Accepting the risk
    - Removing risk source
    - Reducing the likelihood
    - Changing the consequence
- Risk Financing
    - Retaining the risk
    - Self-insurance
    - Sharing cost of risk with other parties
        - Insurance
        - Hedging
        - Other contractual transfer

Why Firms Manage Risk & Buy Insurance

1. Reduce financial distress and agency costs
2. Minimize disruption to production and investment plans by reducing cash flow volatility
3. Tax considerations

Insurance

- Insurance is the pooling of fortuitous losses by transfer of such risks to insurers who agree to indemnify insureds for such losses.
    - Fortuitous - not foreseeable, sudden, unexpected, out of the control of the insured

    - Indemnify - to put back in the same financial position as before the loss
- By purchasing an insurance policy, the insured can transfer this risk to the insurer in exchange for a premium.
- Through careful selection, the insurer will end up with an average risk that is relatively smaller compared to the original risk of individual policyholders.
- Insurance is based on the law of large numbers.
    - As the number of observations increases, the difference between the observed relative frequency of an event and the true underlying probability tends toward zero.
    - The difference between the observed average severity and expected severity also tends to zero as the number of observations increases.
- **Risk pooling or insurance does not reduce the expected loss for the insurer. Rather, it just reduces the standard deviation, which reduces the number of extreme losses, so the average loss that occurs is going to be much closer to the expected loss.**

Insurability

- It is not a strict formula, but rather a set of criteria, not all of which can be quantified or observed.
    - The loss will be fortuitous, i.e, sudden and unexpected, from the insured's point of view.
    - The expected loss for each insured will be measurable.
    - Loss will be definite as to time, cause, and place
    - A large number of similar exposures exists
    - Losses are uncorrelated across exposures
        - Basically, one loss for a particular insured should not trigger similar losses for all the other insureds.
    - Premium is economically feasible.

Liability Insurance

- An insurance policy that protects an individual or business from the risk that they may be sued and held legally liable for something such as malpractice, injury, or negligence.
- This is third-party coverage. Basically, it pays claims to others and not the business.
- If negligence is necessary, the following four conditions must be satisfied to prove negligence:

    - The defendant had a legal duty to take care
    - There was a breach of this duty
    - This breach was the approximate cause of the plaintiff's injury
    - There was an injury or loss to the plaintiff
- Insurability requires that the expected loss for each insured is measurable. This may sometimes be difficult when changes occur in the legal environment.
- Insurability also requires an accurate measurement of the probability of the loss, the severity of the loss, and the loading required to cover expenses. If these factors are not predictable in real life, the peril will be uninsurable.
